

# Theory Paper on Key Accounting Topics for Class 12 Commerce CBSE

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This paper provides a comprehensive overview of selected chapters from the Class 12 Commerce CBSE syllabus, focusing on theoretical concepts, key principles, and accounting treatments. It covers Partnership Fundamentals, Admission/Retirement/Death of a Partner, Dissolution of Firm, Accounting for Share Capital, Accounting for Debentures, and Cash Flow Statements. The content is based on standard CBSE curriculum and aims to aid understanding and revision.

## 1. Partnership Fundamentals

### Definition and Characteristics

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A partnership is a form of business organization where two or more persons agree to carry on a business and share its profits and losses. Key characteristics include:

- **Agreement:** Governed by the Indian Partnership Act, 1932.
- **Sharing of Profits and Losses:** Usually in an agreed ratio.
- **Mutual Agency:** Partners act as agents for each other.
- **Unlimited Liability:** Partners are personally liable for debts.
- **No Separate Legal Entity:** The firm is not distinct from partners.

### Types of Partners

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- **Active/Working Partner:** Participates in management.
- **Sleeping/Dormant Partner:** Contributes capital but not involved in management.
- **Nominal Partner:** Lends name but has no real interest.
- **Partner by Estoppel:** Represents themselves as partners without being one.

## Partnership Deed

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A written agreement outlining terms like profit-sharing ratio, capital contributions, interest on capital, drawings, and dispute resolution. If absent, provisions of the Partnership Act apply.

## Capital Accounts

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Maintained in two ways:

- **Fixed Capital Method:** Capital remains fixed; fluctuations shown in Current Account.
- **Fluctuating Capital Method:** All transactions affect the Capital Account directly.

## Profit and Loss Appropriation Account

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Used to distribute profits: Interest on capital, salaries to partners, profit-sharing, and reserves.

## Key Ratios and Adjustments

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- **Profit-Sharing Ratio:** Basis for distribution.
- **Interest on Capital:** Allowed at agreed rate if specified.
- **Interest on Drawings:** Charged to discourage withdrawals.

## 2. Admission of a Partner

### Concept

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Admission occurs when a new partner joins an existing firm, altering the partnership agreement. It involves revaluation of assets/liabilities, adjustment of goodwill, and redistribution of profits.

### Accounting Treatment

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1. **Revaluation of Assets and Liabilities:** Prepare a Revaluation Account to adjust for changes in values. Profits/losses are shared by old partners in old ratio.
2. **Goodwill Valuation:** Calculated as super profit (actual profit - normal profit) capitalized at agreed rate. New partner compensates old partners via premium.

3. **Adjustment of Capital:** New partner's capital is adjusted to match old partners' capitals if required.
4. **Reserve Distribution:** Accumulated reserves are distributed to old partners in old ratio.
5. **New Profit-Sharing Ratio:** Agreed upon, and sacrificing ratio (old ratio - new ratio) is used for adjustments.

## Journal Entries

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- For goodwill: Debit New Partner's Capital A/c, Credit Old Partners' Capital A/cs.
- For revaluation: Debit/credit relevant accounts and share gains/losses.

**Example:** If a firm has partners A and B (1:1), and C joins with 1/3 share, sacrificing ratio is 1:1, and adjustments are made accordingly.

## 3. Retirement/Death of a Partner

### Retirement

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A partner withdraws from the firm, leading to adjustments similar to admission but in reverse.

### Accounting Treatment

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1. **Revaluation:** Assets/liabilities revalued; gains/losses shared by remaining partners in new ratio.
2. **Goodwill Adjustment:** Retiring partner's share of goodwill is credited to their account and debited to remaining partners.
3. **Settlement of Account:** Retiring partner's capital is paid, including share of reserves, revaluation, and goodwill.
4. **New Profit-Sharing Ratio:** Gaining ratio (new ratio - old ratio) used for adjustments.

## Death of a Partner

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Similar to retirement, but executors handle the estate. Key differences:

- **Executor's Account:** Opened to settle dues.
- **Interest on Capital:** Up to date of death.
- **Share of Profits:** Accrued up to death date.

## Journal Entries

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- For goodwill: Debit Remaining Partners' Capital A/cs, Credit Retiring Partner's Capital A/c.
- For settlement: Debit Retiring Partner's Capital A/c, Credit Cash/Bank A/c.

## 4. Dissolution of Firm

### Concept

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Dissolution ends the partnership, involving winding up affairs, realizing assets, paying liabilities, and distributing surplus.

### Modes of Dissolution

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By agreement, compulsory (insolvency), on notice, or by court order.

### Accounting Treatment

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1. **Realization Account:** Records sale of assets and payment of liabilities. Profits/losses shared in capital ratio.
2. **Partners' Capital Accounts:** Adjusted for revaluation, goodwill, and reserves.
3. **Cash/Bank Account:** Tracks cash flows.
4. **Distribution of Surplus/Deficit:** Surplus to partners in capital ratio; deficit borne by them.

### Key Points

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- **Order of Payment:** External liabilities, loans, partners' loans, capitals.
- **Insolvency:** If assets insufficient, partners contribute.
- **Piecemeal Distribution:** Gradual payments if dissolution is slow.

### Journal Entries

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- Sale of assets: Debit Cash/Bank, Credit Realization A/c.
- Payment of liabilities: Debit Realization A/c, Credit Liabilities A/c.

## 5. Accounting for Share Capital

### Concept

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Share capital represents ownership in a company, divided into shares. Accounting involves issuance, allotment, calls, and forfeiture.

## Types of Share Capital

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- **Authorized Capital:** Maximum capital company can issue.
- **Issued Capital:** Portion offered to public.
- **Subscribed Capital:** Portion accepted by shareholders.
- **Paid-up Capital:** Amount actually paid.

## Issue of Shares

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- **At Par:** Face value = issue price.
- **At Premium:** Above face value.
- **At Discount:** Below face value (restrictions apply).

## Accounting Treatment

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1. **Application and Allotment:** Journal entries for applications, allotments, and calls.
2. **Calls in Arrears/Advance:** Adjustments for unpaid/paid calls.
3. **Forfeiture:** Shares forfeited if calls unpaid; reissued at premium/discount.
4. **Issue of Bonus Shares:** From reserves, no cash inflow.

## Journal Entries

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- Allotment: Debit Bank/Allotment A/c, Credit Share Capital A/c.
- Calls: Debit Share Capital A/c, Credit Calls in Arrears A/c.

# 6. Accounting for Debentures

## Concept

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Debentures are long-term debt instruments issued by companies, offering fixed interest. They are redeemable.

## Types

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- **Secured/Unsecured:** Backed by assets or not.
- **Convertible/Non-convertible:** Can be converted to shares or not.

- **Redeemable/Irredeemable:** Repayable or perpetual.

## Issue of Debentures

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At Par/Premium/Discount (Similar to shares). Interest is accrued and paid periodically.

## Accounting Treatment

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1. **Issue:** Debit Cash/Bank, Credit Debentures A/c (at face value); premium/discount adjusted.
2. **Interest:** Debited to Profit & Loss A/c, credited to Debentures Interest A/c.
3. **Redemption:** At maturity, debited to Debentures A/c, credited to Cash/Bank.
4. **Sinking Fund:** For redemption, investments made and redeemed.

## Journal Entries

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- Issue at premium: Debit Cash/Bank, Debit Loss on Issue, Credit Debentures A/c.
- Interest: Debit Debentures Interest A/c, Credit Cash/Bank.

# 7. Cash Flow Statements

## Concept

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A Cash Flow Statement (CFS) shows inflows and outflows of cash over a period, classified into operating, investing, and financing activities. Prepared under AS-3 (revised).

## Components

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- **Operating Activities:** Cash from core business (e.g., sales, expenses).
- **Investing Activities:** Cash from asset purchases/sales (e.g., machinery, investments).
- **Financing Activities:** Cash from equity/debt changes (e.g., share issues, loans).

## Preparation Methods

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- **Direct Method:** Lists cash receipts/payments.

- **Indirect Method:** Adjusts net profit for non-cash items (e.g., depreciation, changes in working capital).

## Key Adjustments

- Add back non-cash expenses (depreciation).
- Subtract non-cash incomes.
- Account for changes in current assets/liabilities.

**Example:** If net profit is ₹1,00,000, add depreciation ₹20,000, subtract increase in debtors ₹10,000, etc.

This theory paper summarizes essential concepts. For practical applications, refer to CBSE textbooks, solve numerical problems, and consult accounting standards. Practice is key to mastering these topics.

**Account All Theory By Mindmaster Thunderstudy**  
**(Do not remove any questions or make it as given fully)**